



CER Comparative European Research 2014

Proceedings | Research Track

of the 1st Biannual
CER Comparative European Research
Conference

International Scientific Conference for Ph.D. students of EU countries

March 17-21, 2014 | London



CER Comparative European Research 2014

Proceedings | Research Track

of the 1st Biannual
CER Comparative European Research
Conference

International Scientific Conference for Ph.D. students of EU countries

March 17-21, 2014 | London

Statement of review

All papers reproduced in these proceedings have been independently reviewed with consideration for SCIEEMCEE reporting requirements. All papers reproduced in these proceedings were presented at the CER Comparative European Research Conference.

Disclaimer

Any opinions, advices and information contained in this publication do not necessarily reflect the views or policies of the CER or SCIEEMCEE Executive or its members. Whilst all due care was taken in the compilation of these proceedings, the CER Executive does not warrant that the information is free from errors or omission, or accept any liability in relation to the quality, accuracy and currency of the information.

Copyright

Copyright © 2014 CER Comparative European Research and the Authors.



Published in March, 2014 by Sciencemcee Publishing, London.

Proceedings document published in collaboration with SCIEEMCEE - Scientific Conference Platform.
The proceedings with all papers are available at www.sciencemcee.org.

ISBN 978-0-9928772-0-0



IMPLEMENTATION OF SERVICE MANAGEMENT SYSTEM IN SMALL BUSINESSES: PROBLEMS AND SUCCESS FACTORS

Magdalena Ciesielska

Politechnika Opolska, Wydział Ekonomii i Zarządzania, Katedra Organizacji i Zarządzania Przedsiębiorstwem

ul. Luboszycka 7

Opole, 45-036, Poland

+48 77 449 88 01

m.ciesielska@po.opole.pl

Abstract: *Small companies lack guidelines for management of service they provide and for service management system to support their efforts. Existing service management systems are addressed toward large companies mostly in ICT sector. Small and medium enterprises seek for cheap and effective solutions which enable them to effectively manage their service. This article aims to present conditions for implementation of service management system in small businesses. This article presents problems, reasons, success factors and benefits from implementing service management system in small businesses. The results have been obtained from small and medium enterprises in Poland. The results provide useful insights for companies and scientists interested in developing their own service management system.*

Keywords: *service management, small business, conditions, ITSM*

1. Introduction

Micro, small and medium-sized enterprises (SME) represent 99% of all enterprises in Poland as well as in European Union (EU). Nowadays, management of small business is facing new challenges. Economies turn away from production to service delivering. Increasing significance of service sector in today economies entails new challenges, particularly in SME sector. Customer relationship management, shortening of product/service delivery time, change management, constant improvement of product/service quality and ensuring product/service cost effectiveness are the typical concerns of the small businesses. The importance of a service as a crucial factor of product's sales strategy, resulted in new concepts, rules and research methods. Due to fact, that market provides various set of tools for product management, SMEs direct their vision to service quality management tools, which may provide solutions to their problems. However, there is not one overall service quality management system which may satisfy such various needs as the small businesses' provide.

The most advanced branch in service management is ICT, where rapid changes of the market, forces enterprises to delivering more cost-effective, high-quality IT service in accordance with Total Quality Management (TQM) which result in developing IT service management frameworks (ITSM). The most popular frameworks existing on the market are: Information Technology Infrastructure Library (ITIL), ISO/IEC 20000 and Control Objectives for Information (CobiT). ITIL is one of the quality improvements tools or techniques designed to improve IT services and creating added value of the quality in consistence with the organization's business goals [1]. ISO 20000 is the reflection of ITIL and became the first international standard for ITSM. CobiT is a globally accepted framework, providing an end-to-end business view of governance for enterprises.

These frameworks are good examples of IT service management approach which should be transferred into the

non-IT service management ground. However such process is not simple. Its main limitation is a lack of knowledge on conditions for service management system implementation. There is a market demand for spreading effective service management in non-ICT small businesses.

The aim of this paper is to identify main barriers and success factor for implementing service management system in non-ICT small businesses. This paper discusses the role of service management in small businesses and demonstrates problems, reasons, benefits and key success factors for implementing service management system. The aim of this paper is to present the results of the survey conducted on small and medium enterprises about conditions of service management system implementation.

1.1 Literature review

The literature of management provides many theories and frameworks on improving product quality in order to increase customer satisfaction. Little consideration have been given to the service sector. The most popular product quality management frameworks are TQM, Six Sigma and ISO [2]. However, the nature of the service differentiates from product, so the service quality differs from product quality. Service quality is elusive and abstract construct that is difficult to define and measure [3][4][5][6]. In recent past service sector has been growing rapidly. Nowadays factories not only produce goods, but they also produce set of services that are integral with their products, establishing a competitive advantage.

The gap model developed by Parasuraman, Zeithaml and Berry define five service quality gaps in expectation and perceptions of service quality, which influence its deterioration. These gaps are: customer-expectation management gap, management perception-service quality specification gap, service quality specification-service delivery gap, service delivery-external communications gap and expected service-perceived service gap [7]. Closing the gap between service provided and customer's

perception on service quality, improve customer satisfaction.

Businesses implementing service quality management systems notice its advantages and disadvantages. Some advantages of service quality management systems are: meeting customers' needs, increasing efficiency of problem solving and cost reduction [8][9]. The barriers from implementing quality management systems are shown in Table 1.

Table 1 Barriers resulted from implementing quality improvement projects

Item	Aspect	Project
Customer		
1	Gaps between quality improvement and customer's perception	ISO 9000
2	Customer satisfaction cannot be simply improved by IT	TQM
3	The delay in improving customer satisfaction leads to distrust employees on firm's commitment of quality management	TQM
Financial		
1	Too much emphasis on problem solving and ignoring the cost of problem solving	TQM
2	Quality improvement cannot be directly reflected in the revenue	TQM
3	Difficult to clearly define the timing of quality improvement	TQM
Process		
1	The consideration of maximizing organizational profits hinders the willingness of process change	TQM
2	Standardized quality process can be inflexible and inefficient	Six Sigma TQM
3	Lack of supporting systems to facilitate process change	Six sigma
Learning and growth aspect		
1	Employees' resistance to change	TQM

Source: [10, p.6]

ITIL is set of best practices address to organizational structure and skill requirement for IT organization. The goal for the framework is to establish efficient infrastructure for IT service quality and continual service quality improvement with regard to customer satisfaction. The ITIL framework consists of such areas as: service support, service delivery, planning to implement service management, security management, ICT infrastructure management, application management and the business perspective [1].

Scientific publications about ITSM in relation to SME are very scarce and hard to find. The impact of IT on SME development have been long time ago recognized [11] but issues and opportunities are not clear [12]. According to Küller, Vogt, Hertweck and Grabowski drivers for ITSM in small and medium enterprises are cost transparency, cost reduction, reduction of workload, enhancement of business service quality and business competition [13].

2. Research Issues and Methods

This study seeks to establish the extent to which service management systems has been deployed in the small and medium enterprises. The survey instrument consists on organizations' characteristics, respondents' characteristics,

management standards used, reason and problems related to service management system implementation, success factors and benefit from service management system implementation, potential costs and budget needed to implement service management systems.

The study focused on small businesses. The commonly used definition is the European Union definition of SME. According to it SME is the category of micro, small and medium-sized enterprises which employ fewer than 250 persons and which have an annual turnover not exceeding 50 million euro, and/or an annual balance sheet total not exceeding 43 million euro [14]. 130 small businesses from various type of activity in opolskie and śląskie vovoidships were requested to complete the questionnaire. They were selected from yellow pages. The survey was assisted by telephone interviews. Questionnaires were addressed to manager of each firm. The survey instrument began with identification if company is delivering service on different levels and if they implement service quality management system. This was followed by management standards and frameworks implementation and identification of problems, reasons, budgeting, success factors ad benefit of service management system. Next, the attitude toward implementation of service level management system and demographic items of respondents were requested.

2.1 Respondents' characteristics

The author received 20 usable responses. The 15% response rate was achieved. Top management constituted 70% of respondents, middle management 15% and lower management 15% of respondents. The percentage of business in service sector was 85% , manufacturing 10% and agriculture 5%. One-man business as well as limited liability companies constituted 40% of respondents each, partnership 10%, join-stock company 5% and foreign company branch 5%. The percentage of micro-sized enterprises was 30%, small enterprises 25% and medium-sized enterprises 45%. Table 2 presents the percentage of respondents in each classification category.

Table 2 Characteristics of Responding Firms and Individuals

Item	Category/ Percent of Respondents			
Age of firm	Less than a year 0.0	1-2 10.0	3-4 5.0	5 and more 85.0
Type of firm	One-man activity 40.0	Limited liability company 40.0	Partnership 10.0	Join-stock company; Foreign branch 5.0 each
Number of employees	0-9 30.0	10-49 35.0	50-249 35.0	

Annual turnover (EUR mln)	10,01-50 30.0	2,01-10 25.0	< 2 45.0	
Position in organization	Owner 30.0	Top manager 40.0	Middle manager 15.0	Other 15.0
Main sector of activity	Other service activity 40.0	Professional, scientific and technical activity 15.0	Wholesale and retail trade; transportation and storage; 10.0 each	Education, Building; Agriculture, forestry, hunting and fishing; Financial and insurance activities; Health care and social assistance 5.0 each

Source: own work

3. Management Frameworks Deployment

The respondents were polled regarding management frameworks deployment in their organizations. Specific issues investigated included advancement in management frameworks deployment and are presented in Table 3. In order to compare the relative implementation of various frameworks, developed by Cater-Steel and Tan [15] a five point Likert scale was used to code the responses: no plans to implementation initiative- 0; starting to implement initiative -1; the initiative is partially implemented- 2; the initiative is largely implemented- 3; the initiative is fully implemented- 4. As shown in Table 3, strong adoption of PN-EN ISO 9001:2009 was reported. As shown in the Table 3, although 12 firms did not plan to adopt ISO 9001, it was fully implemented by 7 firms. A support was also reported for project management frameworks such as PMBOK and Prince 2. ITSM frameworks were found in various stage of implementation: CobiT partially by 2 firms, ISO 20000 starting by 1 company, while all firms do not plan to deploy ITIL.

Table 3 Advancement in marketing frameworks deployment

Service Management Framework	No plans 0	Starting 1	Partially 2	Largely 3	Fully 4
CobiT	18	0	2	0	0
PN-EN ISO 9001:2009	12	0	1	0	7
ISO/IEC 20000	19	1	0	0	0
Prince 2	17	2	1	0	0
PMBOK	19	0	0	1	0
Balanced Scorecard	18	2	0	0	0
Six Sigma	20	0	0	0	0
ITIL	20	0	0	0	0

Source: own work

4. Conditions for Service Management Systems Implementation.

The question exploring the organization's problems with service management allowed for multiple responses. As illustrated in Table 4 the most occurring problem in polled organizations was vaguely worded customer expectations – 30% and not defined service quality (30%). Internal disagreements between organization's departments characterizes 30% of respondents.

Table 4 Problems with service management

Ineffective resource allocation	5%
Small or limited knowledge on service costs	10%
Unsufficient customer satisfaction	10%
Lack of service level agreement	15%
Lack of communication between service provider and a client	15%
Other	20%
Not defined service quality	30%
Internal disagreements between organization's departments	30%
Vaguely worded customer expectation	40%

Source: own work

Respondents reported problem of service management not listed in the questionnaire: vague provisions in terms of reference.

The respondents were requested to identify the reasons for service management system implementation. The measurement scale was multiple choice question. The results obtained from respondents are presented in Table 5. Service quality improvement (80%) and customer satisfaction improvement (75%) were the most often picked responses. Polled respondents did not find greater involvement of the client (15%) as an important reason for service management system implementation.

Table 5 Reasons for service management system implementation

Service quality improvement	80%
Customer satisfaction improvement	75%
Increased competitiveness on local and global markets	60%
Ensuring internal consistency of service provided with company's strategic objectives	55%
Cost reduction	40%
Centralization of service management	25%
Greater involvement of the client	15%
Don't know	15%

Source: own work

In order to define key success factors of implementing service management system a multiple choice nominal scale was used. The results are presented in Table 6. The respondents indicate that employee competence (65%) and employee training (55%) are crucial for service management system deployment.

Table 6 Key success factors for implementing service management system

Employee competence	65%
Employees training	55%
The involvement if middle management	50%

The company's ability to implement best practices	45%
Competent external advice	45%
The possibility of obtaining funding	45%
Low cost of implementation	35%
Ongoing support external service	30%
Ease of service level management software's usage	30%
Change management focused on customer	25%
Identification of barriers to implementation of the system to small and medium-sized enterprises	20%
Training to customer	15%
Service centralization	15%

Source: own work

The final part of the questionnaire focused on the identification of benefits of implementing service management system in respondents organizations. As shown in Table 7 respondents reported that customer satisfaction improvement is the most important benefit from implementing service management system in. Full results are presented in Table 7.

Table 7 Benefits from implementing service management system

Customer satisfaction improvement	65%
Benchmarking	55%
Reputation and image improvement	55%
Adapting services to the business objectives	50%
Effective human resources use	50%
Cost reduction of delivered service	50%
Achieving shorter closing time of the problem	45%
Gaining a competitive advantage based on cost-effective service	45%
Control over problem escalation	40%
Adjusting the response time to set priorities	40%
Increase employee productivity	40%
Revenues increase	40%
Improved continuity of services	35%
Risk reduction	30%
Shorter response time	25%
Improvement to services implementation	25%
Labor costs reduction	25%
Relations between departments improvement	20%
ROI improvement	15%

Source: own work

6. Conclusions and Recommendations

Small businesses face organizational change and sometimes they need to operate under global competitive pressure. Research indicates strong need for service management system deployment in polled organizations. There has been much written about quality of the service, however the literature do not provide enough information about small businesses.

The most popular management standard for SME is continuously ISO 9001:2009, however there are examples of ITSM standards deployment in researched organizations. There is a strong need for spreading the knowledge of importance of such tools in micro, small and medium-sized organizations. The results showed that in polled organization project management standards have been already spotted and implemented.

This survey results draw attention to conditions for service management implementation in polled micro, small and medium-sized enterprises. The respondents in general reported that vaguely worded customer expectation and

internal disagreement between organization's departments are the mostly occurring problems associated with the service management.

The reasons for service management system deployment have been largely described in the literature. This researched confirmed prior assumptions that quality and customer satisfaction are in the main focus of polled enterprises.

The issue of key success factors of service management system deployment identification did not give clearly results. The greatest emphasis was put on human resources abilities to implement and realize service strategy of the polled organizations. Half of the respondents indicate middle management engagement as the success factor of service management system implementation.

Research indicates that customer satisfaction improvement is the most often pointed benefit from service management system implementation in polled businesses. Benchmarking was the second most often indicated response. This indicates strong need for self-improvement in researched companies in order to enhance better understanding of customer and processes, measurement and need for cluster cooperation. Such issue should be better investigated in the future research.

As in any study, there are limitations in this research. As the data was collected only for twenty of SME in opolskie and śląskie vovoidships, the findings cannot be generalized to all Polish small and medium enterprises. Further empirical studies are required to replicate this study on representative quantity of organizations.

Quality is the crucial issue for the survival of any organization, especially SME. Small businesses should raise their commitment in formal quality improvement strategy and secure themselves with service management tools/standards. The deployment of quality improvement processes accompanied by professional advice are key success factors for service management system implementation. Companies should put the client in the middle of their focus and continuously improve in order to satisfy the client. The implementation of service management system may give micro, small and medium-sized enterprises a competitive advantage not only in the local market but also in the global one.

References

- [1] ITIL, *Secrets of Service Level Management. A process owner's guide*, London, The Stationery Office, 2013.
- [2] Powell, T.C., *Strategic Management Journal*, Vol. 16, Issue 1, pp.15-37, 1995.
- [3] Garvin, D.A., *Harvard Business Review*, Sept-Oct, pp.65-75, 1983.
- [4] Zeithaml, V.A., *Journal of Marketing*, Vol. 52, Issue 3, pp.2-22, 1988.
- [5] Wakefield, K.L., Blodgett, J.G., *Psychology & Marketing*, Vol. 16, Issue 1, pp. 51-68, 1999.
- [6] Bebeko, C.P., *Journal of Service Marketing*, Vol. 14, Issue 1, pp. 9-26, 2000.
- [7] Parasuraman, A., Zeithaml, V.A., Berry, L.L., *Journal of Marketing*, Vol. 58, pp. 111-124, 1994.

-
- [8] Crosby, P.B., *Quality is free*, New York, MacGraw-Hill Book Co., 1979.
- [9] Deming, W.E., *Out of crisis*, Cambridge, MIT Centre for Advanced Engineering Study, 1988.
- [10] Shari, S.C., Shu-Fang, L., *Contemporary Management Research*, Vol. 6, No. 1, pp. 53-70, March 2010.
- [11] OECD, *Small and Medium-Sized Enterprises: Technology and Competitiveness*, Paris, OECD Publishing, 1993.
- [12] Levy, M., Powell, P., *Strategies for Growth in SMEs-the Role of Information and Information Systems*, Burlington, Elsevier Butterworth-Heinemann, 2005.
- [13] Küller, P., Vogt, M., Hertweck, D., Grabowski, M., *Journal of Innovation Management in Small & Medium Enterprises*, Vol. 2012, pp. 1-17, 2012.
- [14] http://ec.europa.eu/enterprise/policies/sme/facts-figures-analysis/sme-definition/index_en.htm
- [15] Cater-Steel, A., Tan, W-G., *itSMF Australia 2005 Conference: Summary of ITIL Adoption Survey Responses*, Technical report, <http://eprints.usq.edu.au>